where a merchant is charged an MDR of up to 3%. They say the MDR on UPI will open new revenue streams for players in the ecosystem.

"The introduction of MDR is expected to materially improve the monetisation potential of UPI and create a commercial incentive for participants across the ecosystem," Co-founder and CFO of One MobiKwik Systems, Upasana Taku said recently.

While only 4% of UPI transactions are expected to attract MDR, the eligible transactions could represent 15-20% of UPI GMV (gross merchandise value), as the threshold is linked to transaction value, Taku said in an expert session with broking firm Motilal Oswal.

digital economy. The next stretch towards 90% digitisation is about bringing merchants and buyers who are still outside the digital economy into the fold," he says. He adds that achieving this at scale will require a self-sustaining platform that can continue to invest in reliability, security, technology and innovation.

"The return of MDR is an important step in creating that sustainable foundation and enabling UPI to scale further," he says.

Ranadurjay Talukdar, Partner and Payments Sector Leader, EY India, agrees that for banks and payment providers, this move creates resources for resilience, cybersecurity, innovation and customer service.

"Economically, a general price increase, reduced discount, or payment-linked fee can shift MDR onto consumers, even if the invoice does not identify it. At 0.4%, the direct cost is ₹4 per ₹1,000, but cumulative costs matter for thin-margin businesses," says Manoranjan Sharma, Chief Economist, Infomerics Ratings, a credit ratings agency.

A two-tier pricing structure is plausible if merchants preserve a common headline price but vary discounts by payment method, he says. Therefore, monitoring transaction-level pricing will matter more than headline prices when assessing the MDR's real incidence, adds Sharma.

EY's Talukdar also believes the

HISTORICALLY, COMPANIES HAVE HAD TO ABSORB SIGNIFICANT FIXED COSTS RELATED TO ONBOARDING AND SERVICING MERCHANTS DESPITE LIMITED DIRECT MONETISATION FROM UPI TRANSACTIONS

Historically, payment companies have had to absorb significant fixed costs related to onboarding and servicing merchants despite limited direct monetisation from UPI transactions. Taku noted that with MDR, incremental transaction volumes can now contribute directly to revenue, potentially accelerating merchant acquisition and improving the economics of existing merchants.

Furthermore, the MDR should help in strengthening cyber security, fraud prevention, and pushing innovation, experts say.

Anirban Mukherjee, CEO, PayU, concurs. "UPI's real achievement is that millions of merchants and customers are now part of the

"The revised UPI MDR framework represents a shift from subsidising adoption to building sustainable digital infrastructure. Its calibrated design protects consumers, small merchants and over 95% of low-value merchant transactions, while asking larger commercial payments to contribute modestly towards ecosystem costs," he says.

THE NEXT TEST

The finance ministry has stressed that the MDR is borne by the merchant, and consumers will not bear the cost. However, some stakeholders believe that the higher costs may still be passed on through various means.

key will be transparent sharing of MDR revenues, strict prevention of consumer surcharges, and effective deployment of the proposed fund to deepen acceptance among smaller merchants and underserved markets.

UPI has transformed the way India pays. The question now remains whether putting a price on a part of that ecosystem will strengthen it without weakening the very merchant base that helped make it universal.

For UPI, the challenge will be to ensure that the cost of sustainability does not come at the expense of adoption. BT

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